

FOR IMMEDIATE RELEASE

F A D A releases July'19 Vehicle Registration Data

July Sales Continue to be Negative YoY, But Positive Hope Building up for the Festive Season with Monsoon Revival, Improving Liquidity and Serious Intervention and Action Expected from Government Towards Demand Improvement.

- *For the month of July and on YoY basis, Overall sales Continued to be negative at -6% with 2W at a de-growth of -5%, PV by -11% and CV at -14%.*
- *Positive Growth seen on a MoM basis, with overall sales up by 5% as June'19 had the 2nd lowest Volume base this CY after February. Postponement of demand seen in June due to Deficient Rainfall concluded in July, after onset and even spread of monsoon, and slight Liquidity improvement seen towards July end in Banking system contributed also, towards this MoM uptick in Sales.*
- *PV inventory levels reduces further and comes closer to FADA's proposed 21 days inventory. CV inventory continues to be at High levels. Very Slight reduction seen in 2W inventory Levels and they continue to remain at very high levels and a serious cause of concern for Dealers.*
- *H'ble Finance Minister meeting with Auto Industry, followed by immediate action on Retail Lending Push for Banks and NBFC, a point strongly advocated by FADA and a strong positive statement from Hon. Prime Minister on the Auto Industry and indication of Stimulus for Demand Generation and Growth Revival of the Economy coupled with a Revival of the Monsoon builds Positive Hope amongst Dealer for Festive Season, Despite the current Lack of Demand and Weak Consumer Sentiment.*

19th August'19, New Delhi: The Federation of Automobile Dealers Associations (FADA) today released the Monthly Vehicle Registration Data for the Month of July'19.

July-19 Retail Sales

Commenting on July'19 performance, F A D A President, Mr Ashish Harsharaj Kale said, "Consumer Sentiment and Overall Demand Continued to be quite weak across all segments and most geographies. The July sales continue to be in the Negative zone YoY. Although Some respite seen with growth in MoM numbers which was mainly due to Revival of the Monsoon bringing some Positivity and also June having the 2nd Lowest Volume Base this Calendar Year after February. With June being a completely dry and rain deficient month, Consumer Sentiment was at its lowest and with July rains covering up a lot of the deficit, some confidence in consumer demand led to pending purchase conclusion in July. Despite these Factors CV Sales Continued to be in the Negative even MoM."

State wise Vehicle Registration Analysis can be found in **Annexure 1**.



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Dealer Inventory

The continued steps taken by PV manufacturers in reducing wholesale billing as well as regulating production has further led to decrease in inventory in the month of July. The PV inventory is now very close to FADA's 21 days inventory levels.

FADA is Very thankful to all PV OEMs for initiating necessary steps and helping Dealers in reducing inventory thus helping us manage Our profitability and viability in these challenging times.

CV inventory Continues to remain at High Levels and unlike the slight uptick in Sales seen in July for PV and 2W, CV Sales continued to be Negative in Double Digit YoY and MoM and gave little room to the Dealers to reduce Inventory.

FADA Would Urge Our OEM's to help Regulate this Inventory at the Earliest by Regulating Wholesale Supplies. With the Current weakness in Demand Overall and Especially in the CV Space the Current Inventory is a Worry for the Dealers, especially looking at the Transition to BS6 now being just 6 months away.

We Look Forward to our members reaching our suggested and requested level of 21 days in CV inventory by September End.

2W inventory, sees very slight reduction and continues to be at very high levels. **The High Levels of Inventory in 2W Segment has Continued from the start of this Current Slowdown in September 2018 without respite in any month and is a very Serious concern of Our members and threatening the financial viability of many dealer members and therefore a Cause of Serious worry to FADA.**

We would once again urge and request all our 2W OEM's to help regulate this inventory to regular levels of 3 weeks and help our members avoid the Perils associated with High Inventory.

Near Term Outlook

FADA would categorise the near-term outlook as "Cautiously Optimistic"

Cautious as:

- a) The Consumer Sentiment and Demand continues to be Quite Weak and purchase postponement continues.
- b) The Overall Economic situation continues to be weak.
- c) Transmission of Surplus Liquidity and Interest Rate Cuts still not seen in Retail Lending.
- d) Confusion in Consumer Mind with regards to EV and BS6 leading to Postponement.
- e) Flood Situation is quite Severe in many states having large Auto Sales.

Optimistic as:

- a) The revival of Monsoon with Average or above average Rainfall in most parts of the country
- b) Surplus Liquidity in the system after a prolonged shortage of it, hopefully leading to Aggression in Retail Lending soon.
- c) Subdued Fuel Prices unlike last Festive Season.
- d) A very good meeting with Hon. Finance Minister and All Measures for Growth Revival Suggested and were Seriously Listened to:
 - i. Partial or Temporary Reduction in GST to Spur Immediate Demand,
 - ii. an Attractive Scrappage Policy



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- iii. Continued Liquidity Availability and Building Confidence in Banking & NBFC Sector to Facilitate Aggressive Retail Lending along with transmission of the Rate Cuts are some Key Suggestions Given by the Industry and by FADA and are being Seriously Deliberated Within the Finance Ministry.

and most Importantly

- e) H'ble Prime Minister himself leading the Efforts for Growth and Demand Revival and A strong and positive statement by him for the Auto Industry, including putting to rest the confusion on Co-Existence of IC Engines and EV.

FADA is Very hopeful and Positive that the Government will Soon take More Initiatives Specifically for the Auto Sector as well as For Reviving Overall Consumer Demand of Which Auto Retails would also be a beneficiary.

Liquidity

On the Liquidity front Mr Kale Commented, "Liquidity Currently seems to be surplus in the banking system and with the Strong Focus of the RBI and Finance Ministry, should Continue to be so. The Recent Rate Cut by the RBI is an indication of its Policy of Monetary Easing and is a Big Positive. The Need now is in Transmission of the Liquidity and Rate Cuts in Lending at Retail levels to Spur Growth, as Banks and NBFC's still Continue to Tread with a Cautious Approach for Obvious reasons."

Long Term Outlook

On the Long-Term Outlook, F A D A President commented, "With the H'ble Prime Minister aiming for Our Nation to become a US\$ 5Tn Economy by 2025, the Auto Industry and specially the Auto Retail Sector will play a more important role in times to come in Contributing Towards this Vision. This coupled with Automotive Mission Plan (AMP) 2026, the Auto Industry will contribute 12% to India's GDP which is a rise of ~4% Contribution to National GDP from current levels as envisioned in AMP 2026.

With the Size of the Indian Auto Market currently at 26 million and projected to Grow 50%+ by 2026, Automobile Dealerships will Continue to Play the Key Role in Delivery of these Mobility Solutions irrespective of the Technology adopted, in a Complex and Diverse Country Like Ours.

With a Projected Increase in Dealership Outlets in tune with the Growing Auto Industry from the current 25,000 Outlets to 30,000+ Outlets required for this Growth and from the current Direct Employment of 25 Million to 40 Million by 2025, Automobile Dealers Would continue to be a Thriving Business Community and Continue to play a key Role in Nation Building and Continue being One of the Biggest Employment Generators and Tax Contributors as an Industry".

Key Findings from our Online Members Survey

- On the Current Sentiments of the Industry
 - 65% Dealers rated it as Bad (56% in June'19)
 - 34% Dealers rated it as Neutral (39% in June'19)
- On the Liquidity Front
 - 38% Dealers rates it as Neutral (46% in June'19)
 - 55% Dealers rated it as Bad (46% in June'19)



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- On the Current Inventory Front
 - Average inventory for PVs ranges from 25 – 30 days (*30-35 days in June'19*)
 - Average inventory for 2W ranges from 60 – 65 days (*60-65 days in June'19*)
 - Average inventory for CV ranges from 55 – 60 days (*55-60 days in June'19*)

A Chart showing Vehicle Registration Data can be found below:

Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	13,32,384	14,03,382	12,78,254	-5%	4%
3W	55,850	54,250	46,211	3%	21%
CV*	23,118	26,815	28,478	-14%	-19%
PV**	2,43,183	2,74,772	2,28,198	-11%	7%
Total	16,54,535	17,59,219	15,81,141	-6%	5%

Source: FADA Research

Disclaimer:

- 1- *Due to technical reasons, CV numbers reflect only from 833 RTOs comprising 56.20% of total no. of RTO's and are mainly missing from the states of CG, GJ, KL, PB, RJ, UP, AP, MP & TG.
- 2- **Beginning this month, LPV category has been included in PV
- 3- The above numbers for July'19, July'18 and June'19 do not have figures from 352 RTOs mainly from states of AP, KL, MP & TS. AP, MP & TS are not yet on Vahan and KL comparative fig. for Jul'18 not available, hence it has not been taken for Comparative Calculation.
- 4- Online Survey has a limited sample size and reflects an overall trend.
- 5- Vehicle Registration Data has been collated in collaboration with Ministry of Road Transport & Highways, Government of India and has been gathered from 1,180 out of 1,452 RTOs.
- 6- NA = Not Available due to Technical Reasons

----- End of Press Release -----

About F A D A India

Founded in 1964, Federation of Automobile Dealers Associations (F A D A), is the apex national body of automobile retail industry in India engaged in the sale, service and spares of 2/3 Wheelers, Passenger Cars, UVs, Commercial Vehicles (including buses and trucks) and Tractors. F A D A India represents over 15,000 automobile dealers having 25,000 dealerships including 30 Associations of Automobile Dealers at the Regional, State and City levels accounting for 90% of market share in India. Together we employ over 2.5 million direct employees and another 2.5 million as indirect employees, making it a total of ~5 million people in the country at dealerships and service centres.

F A D A India, at the same time also actively networks with the industries and the authorities, both at the Central & State levels to provide its inputs and suggestions on the Auto Policy, Taxation, Vehicle Registration Procedure, Road Safety and Clean Environment, etc. to sustain the growth of the Automobile Retail Trade in India.

Annexure 1

State wise Vehicle Registration Data for the Month of July-19

ARUNACHAL PRADESH					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	1,415	1,029	1,387	38%	2%
3W	20	6	16	233%	25%
CV	160	68	83	135%	93%
PV	598	570	673	5%	-11%
Total	2,193	1,673	2,159	31%	2%

ASSAM					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	28,426	28,271	33,657	1%	-16%
3W	2,501	1,994	2,365	25%	6%
CV	2,690	3,078	2,930	-13%	-8%
PV	5,910	5,824	5,831	1%	1%
Total	39,527	39,167	44,783	1%	-12%

BIHAR					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	88,193	85,831	1,14,959	3%	-23%
3W	6,105	4,005	3,974	52%	54%
CV	6,144	8,002	4,078	-23%	51%
PV	5,429	6,212	5,542	-13%	-2%
Total	1,05,871	1,04,050	1,28,553	2%	-18%

CHHATTISGARH					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	44,654	38,452	38,263	16%	17%
3W	672	439	503	53%	34%
CV	NA	NA	NA	NA	NA
PV	7,315	5,641	6,163	30%	19%
Total	52,641	44,532	44,929	18%	17%



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CHANDIGARH					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	2,163	2,447	1,787	-12%	21%
3W	39	20	169	95%	-77%
CV	102	42	65	143%	57%
PV	1,406	1,243	1,200	13%	17%
Total	3,710	3,752	3,221	-1%	15%

DAMAN & DIU					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	494	403	364	23%	36%
3W	5	4	7	25%	-29%
CV	32	34	14	-6%	129%
PV	90	140	128	-36%	-30%
Total	621	581	513	7%	21%

DELHI					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	35,005	42,569	32,561	-18%	8%
3W	2,303	2,420	1,949	-5%	18%
CV	1,554	1,422	1,503	9%	3%
PV	11,237	13,006	11,924	-14%	-6%
Total	50,904	60,644	48,590	-16%	5%

DADRA & NAGAR HAVELI					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	615	593	509	4%	21%
3W	4	1	1	300%	300%
CV	146	99	132	47%	11%
PV	223	199	174	12%	28%
Total	988	892	816	11%	21%

GOA					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	2,661	3,233	2,799	-18%	-5%
3W	9	8	4	13%	125%
CV	118	154	75	-23%	57%
PV	1,238	1,357	1,105	-9%	12%
Total	4,026	4,893	3,983	-18%	1%

GUJARAT					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	90,209	1,06,139	80,569	-15%	12%
3W	6,855	6,652	5,090	3%	35%
CV	NA	NA	NA	NA	NA
PV	27,681	37,894	18,333	-27%	51%
Total	1,24,745	1,50,685	1,03,992	-17%	20%

HIMACHAL PRADESH					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	6,249	7,478	5,174	-16%	21%
3W	20	13	14	54%	43%
CV	1,054	800	875	32%	20%
PV	4,386	4,712	3,968	-7%	11%
Total	11,709	13,003	10,031	-10%	17%

HARYANA					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	49,535	50,206	41,006	-1%	21%
3W	2,005	1,314	1,625	53%	23%
CV	(1,089)	125	73	-971%	-1592%
PV	18,702	19,086	15,967	-2%	17%
Total	69,153	70,731	58,671	-2%	18%

JHARKHAND					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	36,903	42,920	39,398	-14%	-6%
3W	1,647	1,692	1,480	-3%	11%
CV	2,266	3,692	1,987	-39%	14%
PV	4,335	4,863	4,537	-11%	-4%
Total	45,151	53,167	47,402	-15%	-5%



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JAMMU & KASHMIR					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	10,505	12,196	8,197	-14%	28%
3W	461	373	393	24%	17%
CV	1,099	792	984	39%	12%
PV	7,380	6,680	6,095	10%	21%
Total	19,445	20,041	15,669	-3%	24%

KARNATAKA					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	96,491	1,05,656	1,03,367	-9%	-7%
3W	4,650	4,877	3,824	-5%	22%
CV	2,294	3,231	1,992	-29%	15%
PV	18,239	23,472	21,060	-22%	-13%
Total	1,21,674	1,37,236	1,30,243	-11%	-7%

KERALA					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	54,658	NA	56,033	NA	-2%
3W	2,609	NA	2,396	NA	9%
CV	2,263	NA	2,038	NA	11%
PV	16,937	NA	16,862	NA	0%
Total	76,467	NA	77,329	NA	-1%

MAHARASHTRA					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	1,20,900	1,43,148	1,18,459	-16%	2%
3W	7,996	12,061	7,285	-34%	10%
CV	4,507	4,354	3,837	4%	17%
PV	27,369	31,767	27,141	-14%	1%
Total	1,60,772	1,91,330	1,56,722	-16%	3%

MEGHALAYA					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	1,430	1,787	1,619	-20%	-12%
3W	81	74	69	9%	17%
CV	289	239	320	21%	-10%
PV	872	1,118	856	-22%	2%
Total	2,672	3,218	2,864	-17%	-7%

MANIPUR					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	2,360	2,747	2,711	-14%	-13%
3W	130	48	133	171%	-2%
CV	143	113	202	27%	-29%
PV	674	540	608	25%	11%
Total	3,307	3,448	3,654	-4%	-9%

MIZORAM					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	2,133	1,637	2,039	30%	5%
3W	5	31	6	-84%	-17%
CV	191	125	181	53%	6%
PV	471	328	474	44%	-1%
Total	2,800	2,121	2,700	32%	4%

NAGALAND					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	483	692	349	-30%	38%
3W	95	95	63	0%	51%
CV	91	176	89	-48%	2%
PV	381	431	385	-12%	-1%
Total	1,050	1,394	886	-25%	19%

ODISHA					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	54,678	60,697	54,358	-10%	1%
3W	1,867	1,852	1,843	1%	1%
CV	3,750	4,067	3,295	-8%	14%
PV	4,891	4,859	4,696	1%	4%
Total	65,186	71,475	64,192	-9%	2%



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PUNJAB					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	39,928	57,510	41,834	-31%	-5%
3W	603	803	419	-25%	44%
CV	NA	NA	NA	NA	NA
PV	8,318	10,592	9,803	-21%	-15%
Total	48,849	68,905	52,056	-29%	-6%

PUDUCHERRY					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	4,815	5,349	4,241	-10%	14%
3W	10	14	21	-29%	-52%
CV	83	109	63	-24%	32%
PV	704	739	563	-5%	25%
Total	5,612	6,211	4,888	-10%	15%

RAJASTHAN					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	78,594	89,331	81,431	-12%	-3%
3W	1,997	1,237	1,336	61%	49%
CV	NA	NA	NA	NA	NA
PV	18,767	20,099	18,638	-7%	1%
Total	99,358	1,10,667	1,01,405	-10%	-2%

SIKKIM					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	364	232	358	57%	2%
3W	-	-	-	NA	NA
CV	30	40	41	-25%	-27%
PV	540	416	400	30%	35%
Total	934	688	799	36%	17%

TAMIL NADU					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	1,49,291	1,61,586	1,24,535	-8%	20%
3W	3,928	3,300	3,048	19%	29%
CV	7,160	5,308	4,722	35%	52%
PV	17,298	21,317	17,398	-19%	-1%
Total	1,77,677	1,91,511	1,49,703	-7%	19%

TRIPURA					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	3,659	3,221	2,757	14%	33%
3W	133	86	75	55%	77%
CV	193	159	189	21%	2%
PV	493	338	378	46%	30%
Total	4,478	3,804	3,399	18%	32%

UTTARAKHAND					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	16,184	19,735	13,715	-18%	18%
3W	694	686	507	1%	37%
CV	487	443	417	10%	17%
PV	3,510	4,191	3,461	-16%	1%
Total	20,875	25,511	18,100	-18%	15%

UTTAR PRADESH					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	2,61,976	2,58,172	2,55,818	1%	2%
3W	9,040	8,589	7,733	5%	17%
CV	NA	NA	NA	NA	NA
PV	33,564	36,171	32,124	-7%	4%
Total	3,04,580	3,02,932	2,95,675	1%	3%

WEST BENGAL					
Category	July'19	July'18	June'19	YoY (%)	MoM (%)
2W	1,02,071	70,115	70,033	46%	46%
3W	1,975	1,556	2,259	27%	-13%
CV	4,284	4,333	4,046	-1%	6%
PV	8,732	9,143	7,920	-4%	10%
Total	1,17,062	85,147	84,258	37%	39%